

New or Used?

As gratifying as it is to buy new, you can save a lot of money by buying a car that's one to three years old. That's because cars depreciate dramatically in the first two years—as much as 30 to 40 percent. The car that you paid \$20,000 for just two short years ago may be worth only \$12,000 now. If you plan to keep it for eight or ten years, it's a moot point, but if you like to trade cars every few years, it could cost you a lot of money.

If the cost is important to you, consider a vehicle that's one to three years old. Ask your dealer to notify you of models you're interested in that are coming off leases. People who lease are more likely to take good care of the car to avoid extra charges, and mileage on leased cars tends to be lower as well because they have mileage restrictions. Former rental cars are not a good buy because they're ridden hard and usually have high mileage for their age. When you buy a used car from a dealer, be sure to haggle over the price.

In general, today's cars are built better than the used cars of yesterday. Dealers and manufacturers now offer warranties on used cars that are in good condition, so you don't have to buy new to get quality. The dealer's profit margin on a used car is considerably greater.



According to www.edmunds.com, most new autos lose 20 to 30 percent of their value once they've been sold. Buying a used car can get you most of the value of a new car at a discounted price. To buy used, you should look for autos that are roughly two years old for optimal value.

Do a Background Check